

Outcome Bias

Insanity is doing the same thing in the same way and expecting a different outcome.

—Old Chinese Proverb

BIAS DESCRIPTION

Bias Name: Outcome bias

Bias Type: Cognitive

Subtype: Information processing

General Description

Outcome bias refers to the tendency of individuals to decide to do something—such as make an investment in a mutual fund—based on the outcome of past events (such as returns of the past five years) rather than by observing the process by which the outcome came about (the investment process used by the mutual fund manager over the past five years). An investor might think, “This manager had a fantastic five years, I am going to invest with her,” rather than understanding how such great returns were generated or why the returns generated by other managers might not have had good results over the past five years.

Technical Description

In the name of attempting to make better decisions themselves, people are prone to evaluating the decisions others make (and subsequent results of those decisions). We do this because it helps people, for example, to